



The Importer's Landed Cost Cheat Sheet

Everything you need to know your true cost per unit — before you commit to an order.

1. The 6 numbers to get from every supplier

Before you can cost anything, ask your supplier for these. If they can give you all six, you can calculate an accurate landed cost on the spot:

① FOB price

Unit price at port of origin, in their currency.

② Units per carton

Inner and outer carton quantities.

③ Carton size

L × W × H in cm (the outer carton).

④ Carton weight

Gross weight per outer carton, in kg.

⑤ MOQ / order qty

Minimum order and your intended quantity.

⑥ Terms

Payment terms and what's included (packaging, certs).

2. The landed cost formula

Work from the carton up. First the cubic volume, then freight per unit, then the all-in landed cost:

$\text{CBM per carton} = (\text{L} \times \text{W} \times \text{H in cm}) \div 1,000,000$

$\text{Freight / unit} = (\text{container cost} \div \text{container CBM}) \times (\text{carton CBM} \div \text{units per carton})$

$\text{Landed unit cost} = (\text{FOB} \div \text{FX rate} + \text{freight}) \times (1 + \text{duty}\%) \times (1 + \text{fees}\%) \times \text{buffer}$

TIP The "buffer" (≈ 1.1 – 1.16) covers local GST/handling — adjust it to your market. A 20' container holds ~ 28 CBM, a 40' ~ 56 CBM.

3. Volumetric weight — why "big but light" costs more

Freight is charged on whichever is greater: actual weight or **volumetric** weight. Bulky, light goods get billed by volume:

$\text{Volumetric weight (kg)} = \text{CBM} \times 167$

If your volumetric weight beats your actual weight, that's your billable weight. Dense products win here; bulky ones cost you.

4. RRP & margin — and working backwards

Forward

$\text{RRP} = \text{landed cost} \times \text{your markup}$

$\text{Margin \%} = (\text{RRP} - \text{landed cost}) \div \text{RRP} \times 100$

Backward (negotiation)

Know your target RRP & margin first, then solve for the highest price you can pay your supplier and still hit it.

5. Negotiation checklist

- **Know your number before you talk price** — walk in with your target buy price already calculated.

- **Ask for price breaks** at higher MOQs — and compare them on a landed basis, not FOB.
- **Get carton specs in writing** — dimensions and weights drive your freight more than you'd think.
- **Confirm what's included** — inner cartons, packaging, certificates, tooling.
- **Compare FOB vs CIF quotes** only after converting both to true landed cost.

Do all of this in seconds.

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